

North American Operations Exclusion Clause LGT397(1994)(Amended)

NORTH AMERICAN OPERATIONS EXCLUSION CLAUSE (LGT 397) (1994) (Amended)

This Agreement excludes all claims in respect of Third Party and Products Liability arising out of operations (as herein defined) located in the USA. However, this exclusion shall not apply to:

(a) Sales and/or Distribution Office(s)

The products and/or public liability risk of sales and/or distribution office(s) (as herein defined), provided all products sold and/or distributed therefrom are manufactured outside of the USA and are supplied to the sales and/or distribution office(s) by the original insured.

(b) Temporary Work

The public liability and/or products liability risk of work performed solely by the original insured's employees and/or directors resident outside the USA, who are temporarily visiting the USA.

(c) Temporary Visits

The employers liability risk of the original insured's employees and/or directors resident outside the USA, who are temporarily visiting the USA in the course of their employment.

Provided always

(i) the policy otherwise protects operations wholly located outside the USA and

(ii) the policy is issued outside of the USA. DEFINITIONS

Operations

An operation located in the USA shall be defined as a legal or physical presence in the USA (whether incorporated or not) of an original insured. The physical presence of a product in the USA manufactured and/or supplied by an original insured outside of the USA shall not alone constitute an operation.

Sales and/or Distribution Office(s)

Sales and/or distribution office(s) shall be defined as sales, marketing or distribution operation of an original insured not otherwise excluded, including associated (i) storage

(ii) final production preparation (i.e. re-packaging packing, labelling, cleaning or the provision of operating instructions prior to sale)

(iii) office accommodation

but always excluding liability arising from (i)

manufacture

(ii) final assembly

(iii) repair, service, maintenance

(iv) amendment, enhancement, alteration.